

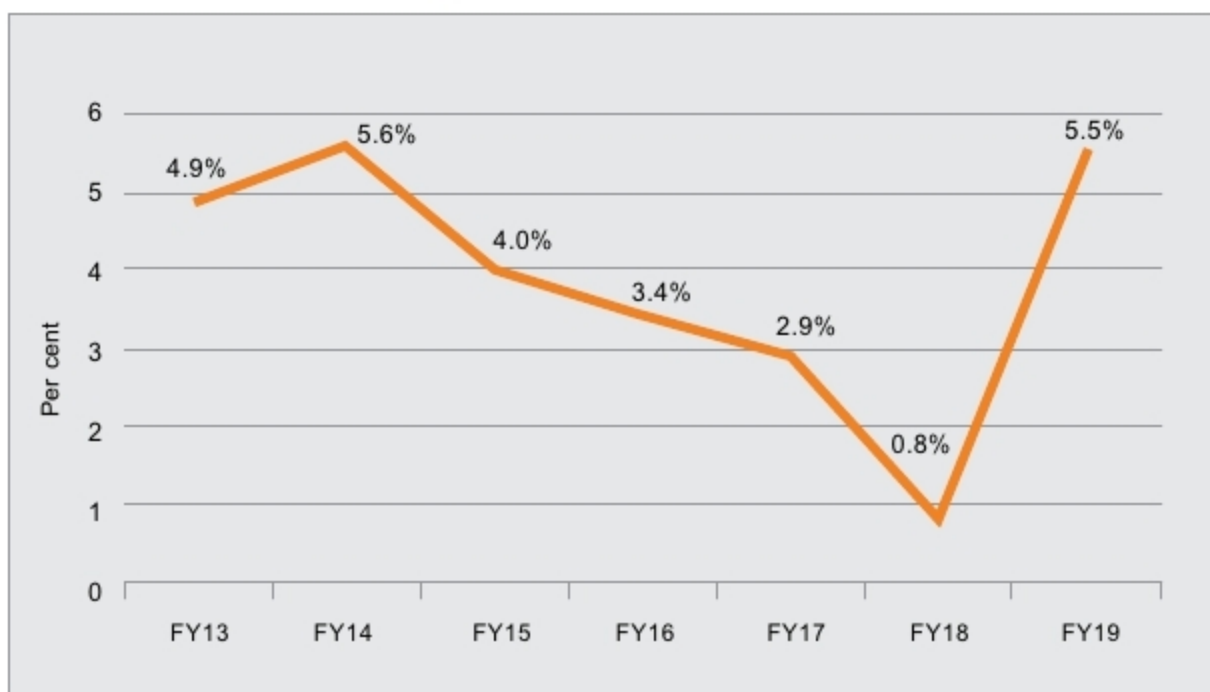


Fig. 2: Consumer electronics industry production status in India (Source: IBEF)

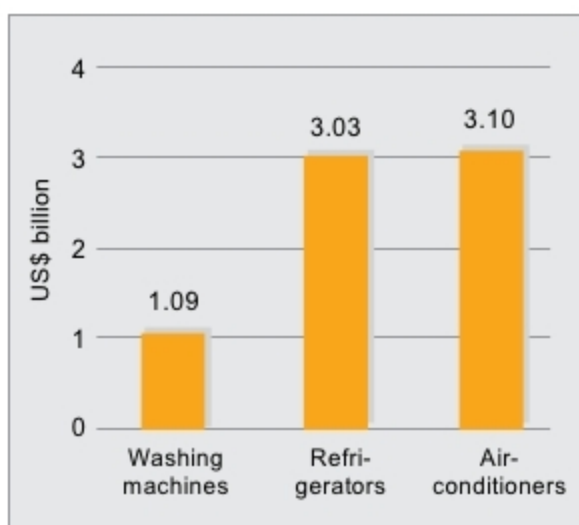


Fig. 3: White goods market size in India in FY18 (Source: IBEF)

451.29 million in 2018-19. Production of consumer durables under Index of Industrial Production has grown 5.5 per cent year-on-year during 2018-19 (Fig. 2).

The TV industry in India was estimated to reach US\$ 10.19 billion in 2017, and it now projected to reach US\$ 13.31 billion by 2020.

Also, demand for durables like refrigerators and consumer electronics goods is likely to grow in the coming years in rural markets, as the government plans to invest significantly in rural electrification. As of 2018, washing machines, refrigerators and air-conditioners in India were estimated around US\$ 1.09 billion, US\$ 3.03 billion and US\$ 3.1 billion, respectively (Fig. 3).

The white goods industry in India is highly concentrated. In washing machine and refrigerator segments, top five players have more than 75 per cent market share.

Whereas, in air-conditioner and fan segments, it is 55 to 60 per cent. On the other hand, the kitchen appliances segment is fragmented with top five players having 30 to 35 per cent market share.

In urban markets, demand is rising for such products as LED TVs, refrigerators, laptops, split ACs, set-top boxes, beauty and wellness products, among others. Whereas, in rural markets, durables like refrigerators, ACs, electric fans and other appliances are likely to witness a growing demand in the near future. Rural markets have recently witnessed around thirty per cent growth in demand for electronics and home appliances.

Consumer Electronics and Appliances Manufacturers Association (CEAMA) forecasts that the LED/LCD category is expected to grow at around twenty per cent from 2014 to 2020, while refrigerator category at around ten per cent in that period. Air-conditioners would continue to rise between six to seven per cent. Washing machines are expected to grow up to nine per cent during the period. However, set-top boxes would grow the fastest, primarily because of the government's digitisation of the cable delivery system.

Growing awareness, easier access and changing lifestyles have been the key growth drivers for the consumer market. The government of India's policies and regulatory frameworks, such as relaxation of licence rules and approval of 51 per cent foreign direct

investment (FDI) in multi-brand and hundred per cent in single-brand retail, are some of the major growth drivers for the consumer market. According to Department for Promotion of Industry and Internal Trade, during April 2000 to March 2019, FDI inflow into the electronics sector stood at US\$ 2.36 billion.

## Market mix

The Indian consumer electronics industry can be classified in the following ways:

- By product type
- By pricing model
- By business model
- By distribution model

Classification according to product types is:

- Visual and audio products
  - TVs
  - Laptops
  - Speakers
  - Others (headphones, etc)
- Major home appliances
  - Air-conditioners
  - Refrigerators
  - Washing machines
  - Dish washers
  - Others (cooktops, etc)
- Small home appliances
  - Food processors
  - Microwave ovens
  - Irons
  - Others (kettles, etc)

Market scenario of some key consumer electronics products are depicted in the table. According to the pricing model, the Indian consumer electronics market can be classified as:

- Low-cost products
- Medium-cost products
- High-end products (customised or luxury brands)

Moreover, all the above-mentioned categories follow both business-to-business (B2B) and business-to-consumer (B2C) models. Further, with the rise of the e-commerce segment, distribution patterns have also evolved, and these can be classified as:

- Online distribution channels
- Offline distribution channels

## Emerging trends

Technological innovations to improve people's lives and to enhance their